Rent Growth Flattens as Landlords Use Pricing and Concessions to Secure Tenants

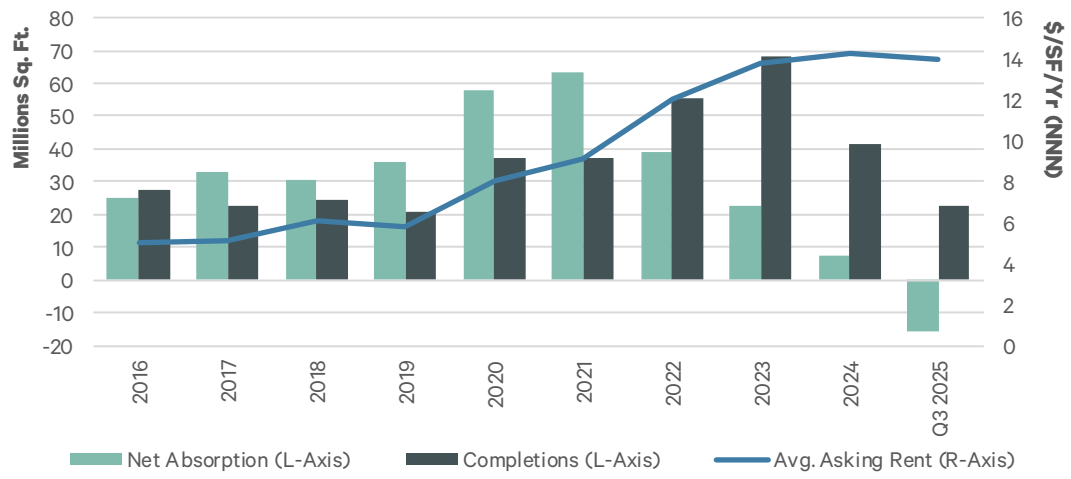
▲ 7.9%	▲ 1.6 M	▲ 28.1M	▼ $13.97
Vacancy Rate	SF Net Absorption	SF Under Construction	NNN / Lease Rate

Note: Arrows indicate change from previous quarter.

- The leasing and user sale activity of the Northeast U.S. Industrial & Logistics (I&L) market totaled 16.3 million sq. ft., down 16% quarter-over-quarter.
- Average asking rents for all asset types remained constant quarter-over-quarter, but decreased 1.7% year-over-year to $13.97 per sq. ft.
- Vacancy ticked up 10 basis points (bps) to 7.9% after unleased construction completions brought more space onto the market, marking the 14th consecutive quarter of vacancy expansion.
- The active construction pipeline increased 8.5% quarter-over-quarter to 28.1 million sq. ft. but was down from the 33.4 million sq. ft. tallied in Q3 2024.
- Construction completions totaled 3.8 million sq. ft. in Q3 2025, 55% less than the previous quarter.
- Third-party logistics companies continued to dominate leasing and user sale activity.

In Q3 2025, leasing and user sale activity in the Northeast U.S. logistics market totaled 16.3 million sq. ft., 16% lower than the previous quarter and 4% lower than Q3 2024. The

Figure 1: Net Absorption, Construction Completions & Lease Rates



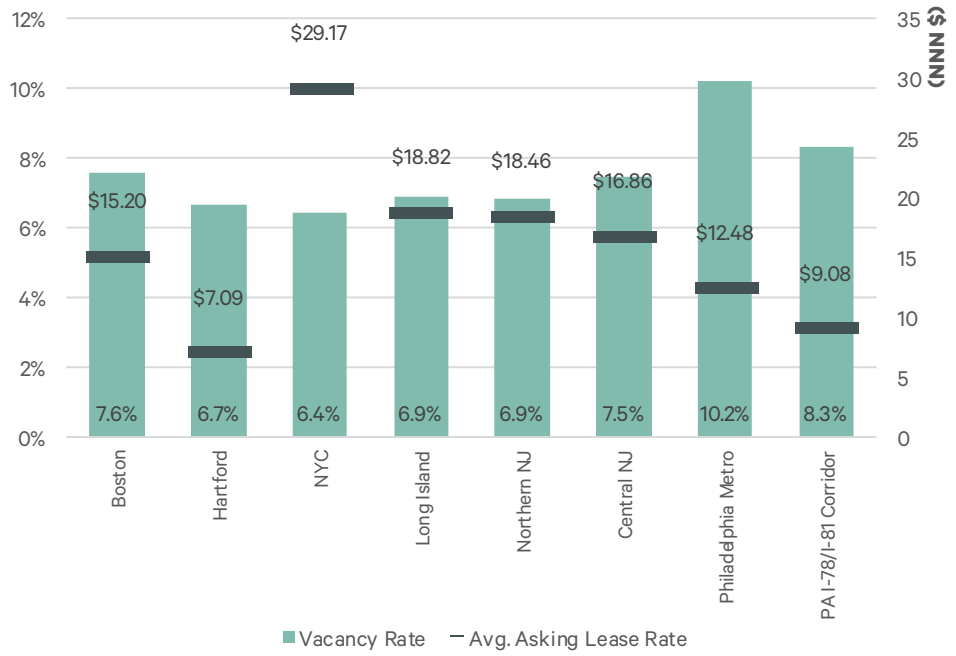
Source: CBRE Research, Q3 2025

© 2024 CBRE, INC.

flight-to-quality trend continued, with tenants favoring Class A logistics facilities. The average deal size shrank as tenants consolidated their real estate footprints to reduce costs. Third-party logistics providers (3PLs) remained the most active industry for leasing in the region, but their demand for space decreased to 26% of total activity from 32% in the previous quarter. E-commerce and retail/wholesale users had notable quarter-over-quarter increases in demand, while manufacturing users decreased their demand for space.

From a geographic perspective, leasing activity remained robust in the combined Northern and Central New Jersey markets and accounted for 40% of the region's total. Demand from 3PLs, both domestic and foreign, as well as demand from retailers kept leasing figures stable in that market.

FIGURE 2 Total Vacancy and Asking Lease Rates



Source: CBRE Research, Q3 2025

FIGURE 3: Northeast Industrial Market Stats

MARKET	TOTAL RENTABLE AREA (MSF)	AVAILABILITY RATE (%)	VACANCY RATE (%)	Q3 2025 COMPLETIONS SF	Q3 2025 NET ABSORPTION SF	AVG. ASKING RENT (NNN)	AVG. CLASS A ASKING RENT (NNN)
Boston	317.9	9.8	7.6	0.21	-0.51	15.2	14.85
Hartford	80.8	9.1	6.7	0.00	0.14	7.09	10.74
Long Island	106.2	6.9	6.9	0.20	0.17	18.82	21.31
NYC	168.8	6.2	6.4	0.00	-0.34	29.17	35.44
Northern NJ	407.2	7.0	6.9	0.99	-0.28	18.46	22.63
Central NJ	469.3	7.9	7.5	0.09	1.16	16.86	18.22
Philadelphia Metro	391.5	10.4	10.2	1.15	0.83	12.48	13.45
PA I-78/I-81 Corridor	545.5	10.3	8.3	1.16	0.42	9.08	9.56

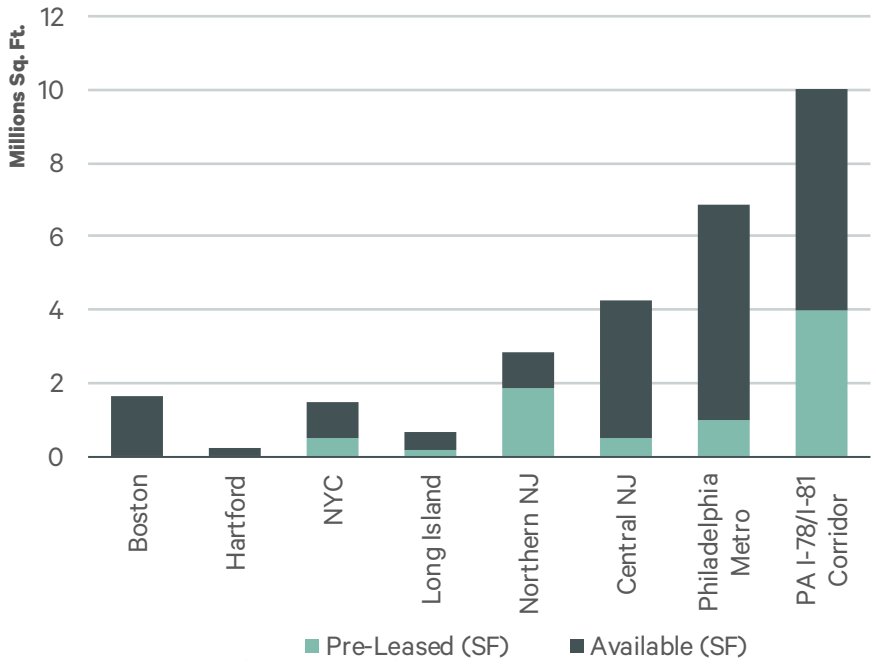
Source: CBRE Research, Q3 2025

© 2024 CBRE, INC.

Leasing activity decreased in the combined Philadelphia Metro and I-78/I-81 Corridor after tenants shifted their demand to small Class A facilities. Their combined leasing activity accounted for 38% of the region's total.

After 6 million sq. ft. of ground was broken, the active construction pipeline increased to 28.1 million sq. ft., up 8.5% from the previous quarter. Of the properties that broke ground, 93% were in the combined Philadelphia Metro and I-78/I-81 Corridor. Pre-leasing rates for active construction in the region decreased 80 bps quarter-over-quarter to 28.7%, considerably lower than when pre-leasing rates peaked at 55% in Q3 2020. Construction completions totaled 3.8 million sq. ft., down from 8.4 million sq. ft. in the previous quarter, bringing year-to-date completions to 22.7 million sq. ft.

FIGURE 4: Under Construction Sq. Ft.



Source: CBRE Research, Q3 2025

FIGURE 5: Pre-Leasing Statistics

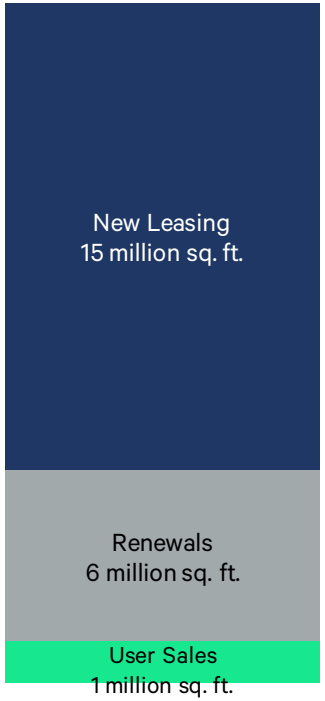
MARKET	UNDER CONSTRUCTION (MSF)	AVAILABLE SPACE (MSF)	AVAILABILITY RATE (%)	PRE-LEASED (MSF)	PRE-LEASED (%)
Boston	1.67	1.67	100.0	0.00	0.0
Hartford	0.25	0.25	100.0	0.00	0.0
Long Island	0.69	0.50	73.1	0.19	26.9
NYC	1.47	0.94	64.1	0.53	35.9
Northern NJ	2.84	0.97	33.9	1.88	66.1
Central NJ	4.25	3.76	88.5	0.49	11.5
Philadelphia Metro	6.89	5.89	85.5	1.00	14.5
PA I-78/I-81 Corridor	10.01	6.02	60.2	3.98	39.8

Source: CBRE Research, Q3 2025

© 2024 CBRE, INC.

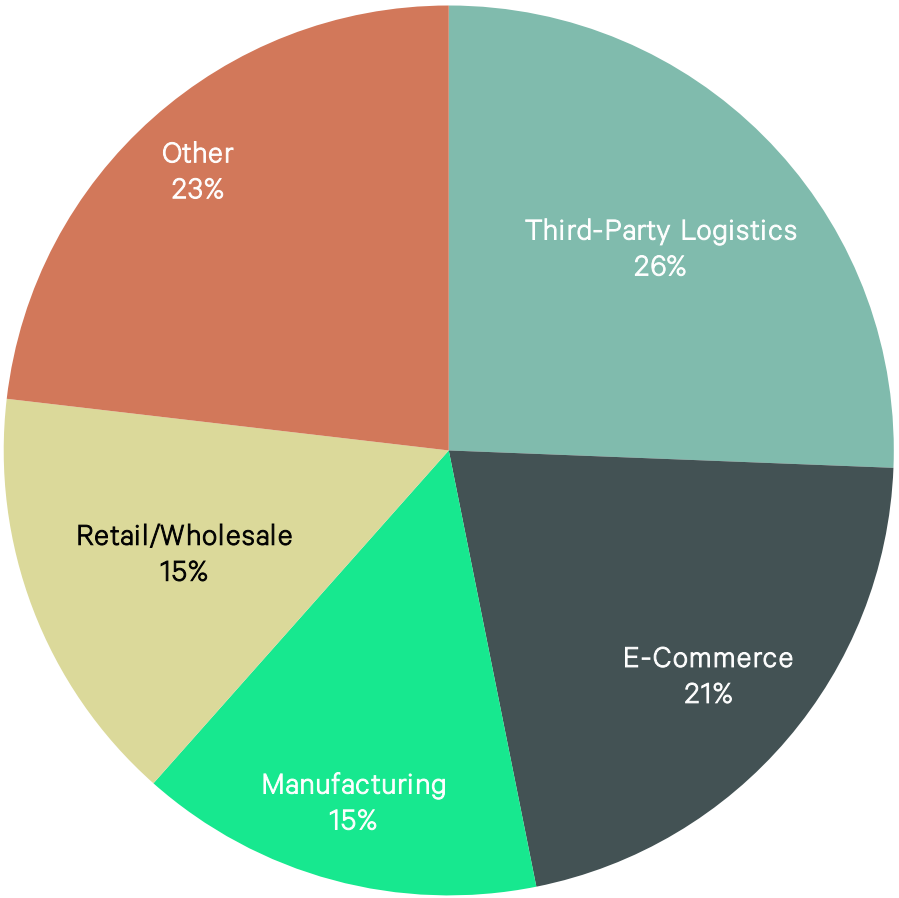
The overall average asking rent remained constant quarter-over-quarter at $13.97 per sq. ft. but down 7.3% from its peak of $14.99 per sq. ft. posted in 2023. Starting in mid-2023, landlords deployed a strategy of increased concessions in the form of free rent and attractive TI packages in order to fill long-term vacancies. More recently, they started to concede on price as well. Overall, the Northeast average asking rent fell by 1.7% year-over-year. Northern New Jersey and Central New Jersey saw year-over-year losses of 6% and 3%, respectively. The Philadelphia Metro saw year-over-year gains of 4%, while rents in the I-78/I-81 Corridor were constant. But as supply and demand find a balance, pricing should stabilize in the short term, accompanied by waning concessions once vacancy begins to decline in earnest.

FIGURE 6: Occupier Leasing & User Sale Activity by Type



Source: CBRE Research, Q3 2025

FIGURE 7: Occupier Leasing & User Sale Activity by Industry



Source: CBRE Research, Q3 2025

© 2024 CBRE, INC.

FIGURE 8: Significant Industrial Leases and User Sales

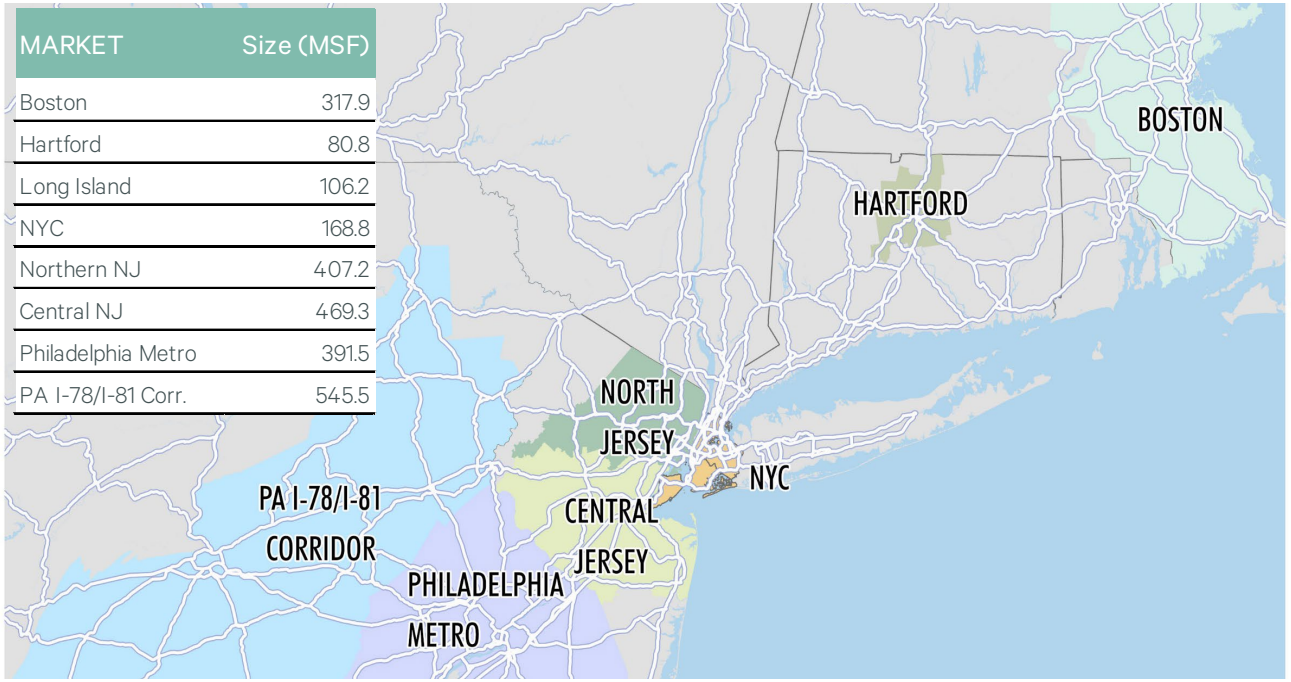
TENANT	MARKET	SIZE (SF)	INDUSTRY
Ryder Logistics	Chambersburg	1,006,500	3PL
JW Fulfillment	Philadelphia	705,000	3PL
JD.com	Central New Jersey	409,425	Business & Financial Services
Genuine Auto Parts	Lancaster	399,280	Other
Ameziel	Philadelphia	301,470	Manufacturing
Stuart C. Irby	Lehigh Valley	298,499	Retail/Wholesale
Niwo	Central New Jersey	296,848	Warehousing/Storage
CEVA Contract Logistics U.S.	Reading	272,541	3PL
MySales	Central New Jersey	269,362	Retail/Wholesale
TWTH Express	Northern New Jersey	255,069	3PL

Source: CBRE Research, Q3 2025

© 2024 CBRE, INC.

Market Area Overview

MARKET	Size (MSF)
Boston	317.9
Hartford	80.8
Long Island	106.2
NYC	168.8
Northern NJ	407.2
Central NJ	469.3
Philadelphia Metro	391.5
PA I-78/I-81 Corr.	545.5



NEW YORK

200 Park Ave
New York, NY 10166
+ 1 212 984 8000
www.CBRE.com/New-York-City

NEW JERSEY

250 Pehle Ave
Saddle Brook, NJ 07663
+1 201 712 5600
www.CBRE.com/Northern-New-Jersey

PHILADELPHIA

555 E. Lancaster Ave
Radnor, PA 19087
+1 610 251 0820
www.CBRE.com/Philadelphia

HARTFORD

185 Asylum St
Hartford, CT 06103
+1 860 525 9171
www.CBRE.com/Hartford

BOSTON

22 Arch St
Boston, MA 02110
+1 617 912 7000
www.CBRE.com/Boston

LONG ISLAND

58 S Service Rd
Melville, NY 11747
+1 631 370 6000
www.CBRE.com/Long-Island

Contacts

Joe Gibson
Director of Research, PA
+1 610 727 5922
joseph.gibson@cbre.com

Brian Klimas
Field Research Manager, Northeast Industrial & Logistics
+1 201 712 5633
brian.klimas@cbre.com

Anna Schaeffer
Senior Field Research Analyst, Northeast Industrial & Logistics
+1 212 984 6653
anna.schaeffer@cbre.com

© Copyright 2025. All rights reserved. This report has been prepared in good faith, based on CBRE's current anecdotal and evidence-based views of the commercial real estate market. Although CBRE believes its views reflect market conditions on the date of this presentation, they are subject to significant uncertainties and contingencies, many of which are beyond CBRE's control. In addition, many of CBRE's views are opinions and/or projections based on CBRE's subjective analyses of current market circumstances. Other firms may have different opinions, projections, and analyses, and actual market conditions in the future may cause CBRE's current views to later be incorrect. CBRE has no obligation to update its views herein if its opinions, projections, analyses, or market circumstances later change.

Nothing in this report should be construed as an indicator of the future performance of CBRE's securities or of the performance of any other company's securities. You should not purchase or sell securities—of CBRE or any other company—based on the views herein. CBRE disclaims all liability for securities purchased or sold based on the information herein, and by viewing this report, you waive all claims against CBRE as well as against CBRE's affiliates, officers, directors, employees, agents, advisers and representatives arising out of the accuracy, completeness, adequacy or your use of the information herein.